ASSISTANT PROFESSOR EXAM — 2024

Economics • Second Paper

UNIT 4

Development & Planning

वकिास एवं नयिोजन

1. **Factors of Economic Development**
2. **Agriculture, Industry, Technology Choice, Investment Criteria & Cost-Benefit Analysis**
3. **Dependency, Neoclassical Counter-revolution, Dualism, Centre-Periphery & Cumulative Causation**
4. **Planning: Concepts, Types, Five Year Plans, Planning Commission & NITI Aayog**
5. **Indian Economic Thinkers (Gandhi, Ambedkar, Upadhyaya, Thengre, Lohia, Mehta, Sen, Bhagwati)**

Very Extensive Notes • Diagrams • Definitions • Key Thinkers • Plan Data

English notes with Hinglish explanations • Updated June 2026

Contents & How to Use

Yeh notes Unit 4 ke **har syllabus point** ko cover karte hain, deep explanation + diagrams + exam-ready definitions ke saath. Language mostly English hai, lekin tough concepts ko Hinglish (simple Hindi-English mix) mein explain kiya gaya hai taaki revision fast ho. Har topic ke end par **Key Terms** box aur important diagrams diye gaye hain.

#	Topic	Focus
A	**Factors of Economic Development**	Natural, Physical, Human Resources; Infrastructure
B	**Agriculture & Industry in Development**	Role, linkages, balanced vs unbalanced debate
C	**Choice of Technology & Appropriate Technique**	Capital vs labour intensity, intermediate tech
D	**Investment Criteria**	Capital-turnover, SMP, Galenson-Leibenstein, balanced
E	**Cost-Benefit Analysis**	Shadow prices, NPV/IRR, Little-Mirrlees, UNIDO
F	**Dependency Theories**	Frank, Baran, Prebisch-Singer, dependentistas
G	**Neoclassical Counter-revolution**	Lal, Bauer, Krueger; markets vs state
H	**Dualism**	Social, technological & financial; Lewis model
I	**Centre-Periphery Models**	Prebisch, Friedmann; core-periphery
J	**Cumulative Causation**	Myrdal backwash/spread; Kaldor
K	**Planning: Concepts, Types, Techniques**	Imperative vs indicative, perspective, rolling
L	**Five Year Plans in India**	Plan-by-plan models, targets, achievements
M	**Planning Commission & NITI Aayog**	Roles, structure, differences, 2026 update
N	**Indian Economic Thinkers**	Gandhi to Bhagwati — 8 thinkers
O	**Quick Revision & Likely Questions**	One-liners + previous-year style Q&A;

A. Factors of Economic Development

Economic development = sustained rise in real per-capita income *plus* structural, institutional and welfare improvements (better health, education, equity). Iska paach broad **factors** par depend karta hai. Inhe do groups mein baant sakte hain: **Economic factors** (resources & capital) aur **Non-economic factors** (institutions, culture, political will).

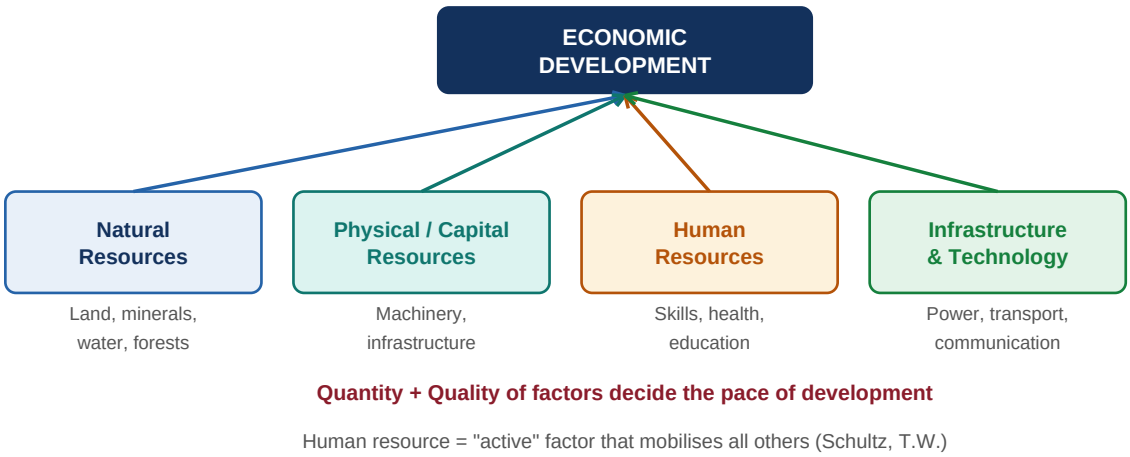


Fig A.1 — Four pillars feeding into economic development

1. Natural Resources (प्राकृतिक संसाधन)

- Land, soil fertility, minerals, water, forests, climate, marine wealth. Yeh development ki **base** hain.
- **But** resources are necessary, not sufficient. Japan & Switzerland resource-poor hain phir bhi developed; many African nations resource-rich par underdeveloped — isse **"resource curse"** kehte hain.
- Key idea: **discovery + utilisation** matters more than mere availability. Technology decides kitna usable hai.

2. Physical / Capital Resources (भौतिक/पूँजी संसाधन)

- Man-made means of production: machinery, factories, tools, buildings, dams, roads.
- **Capital formation** = saving → investment → capital stock. Nurkse ka **vicious circle of poverty**: low income → low saving → low investment → low productivity → low income (dono supply & demand side).
- Capital accumulation = engine of growth in Harrod-Domar; rate of growth g = s / v (s=saving rate, v=capital-output ratio).

3. Human Resources (मानवीय संसाधन)

- Population ki **quantity AND quality** — skills, health, education, attitude, entrepreneurship.
- **Human Capital** theory (T.W. Schultz, Gary Becker): education & health are investments, not consumption. Yeh "active" factor hai jo baaki sab resources ko mobilise karta hai.
- Population can be an **asset** (demographic dividend) or a **liability** (if unskilled & dependent). India ka young population = potential dividend agar skilling ho.

4. Infrastructure & Technology (आधारभूत संरचना एवं तकनीक)

- **Economic infrastructure**: power, transport, irrigation, telecom, banking. **Social infra**: schools, hospitals.

- Infra = **"wheels of development"**; it reduces costs, widens markets, attracts investment (Rosenstein-Rodan's social overhead capital - SOC).
- **Technology** raises productivity; technological progress shifts the production function up. Solow: long-run growth driven by tech progress (TFP).

KEY TERMS / परिभाषाएँ

Resource Curse	Resource-rich desh phir bhi underdeveloped — due to corruption, Dutch disease, conflict.
Human Capital	Investment in education/health that raises labour productivity (Schultz, Becker).
Social Overhead Capital	Basic infra (power, roads) that supports directly productive activities — Rosenstein-Rodan/Hirschman.
Demographic Dividend	Growth boost from a rising share of working-age population.

B. Importance of Agriculture & Industry in Development

Development strategy ka core debate: **agriculture-first** vs **industry-first** vs **balanced**. Dono sectors ek doosre ke complementary hain, competitive nahi.

Role of Agriculture (कृषि की भूमिका)

- **Food security** — feeds the growing population & industrial workforce.
- **Raw materials** for agro-based industries (cotton, sugar, jute).
- **Market** for industrial goods (rural demand for fertilisers, tractors, consumer goods).
- **Capital & labour transfer** — surplus from agriculture funds industry; releases labour (Lewis).
- **Foreign exchange** via agricultural exports; **employment** for ~45% of India's workforce.

Kuznets' 4 contributions of agriculture
(i) **Product contribution** (food & raw material) (ii) **Market contribution** (demand for industry) (iii) **Factor contribution** (labour & capital transfer) (iv) **Foreign-exchange contribution** (exports).

Role of Industry (उद्योग की भूमिका)

- **Higher productivity & value addition** than agriculture; basis of modern growth.
- **Employment** in secondary & tertiary sectors; absorbs surplus farm labour.
- **Technological progress, economies of scale,** and stronger forward-backward linkages (Hirschman).
- **Structural transformation**: as development proceeds, share of agriculture in GDP & employment falls, industry & services rise (Clark-Fisher / Kuznets hypothesis).

Balanced vs Unbalanced Growth (संतुलित बनाम असंतुलित विकास)

Aspect	Balanced Growth (Nurkse, Rosenstein-Rodan)	Unbalanced Growth (Hirschman)
Core idea	Invest simultaneously across many sectors ("big push") to create mutual demand.	Deliberately create imbalances; invest in leading sectors to induce follow-up investment.
Logic	Breaks the "size of market" bottleneck; complementarity of demand.	Scarce capital + entrepreneurship; tensions/pressures drive decisions.
Linkages	All-round; needs huge capital (unrealistic for poor countries).	Backward & forward linkages; pick high-linkage industries (e.g. steel).
Critique	Too capital-hungry; "if a country had so much capital it wouldn't be poor" (Hirschman).	May worsen regional/sectoral inequality; coordination problems.

KEY TERMS / परिभाषाएँ

Big Push	Rosenstein-Rodan: a minimum critical investment across sectors needed to escape low-level trap.
Critical Minimum Effort	Leibenstein: growth stimulants must exceed a threshold to overcome population-induced shocks.
Low-Income Equilibrium Trap	Self-reinforcing poverty where any income rise is eaten up by population growth.
Forward/Backward Linkage	Hirschman: a sector's pull on input-supplying (backward) & output-using (forward) industries.

C. Choice of Technology & Appropriate Technique

Underdeveloped economies mein **capital scarce** hai aur **labour abundant**. To kaunsi technique choose karein — capital-intensive ya labour-intensive? Yeh "choice of technique" debate hai.

Criterion	Capital-Intensive	Labour-Intensive
Output/Growth	Higher output & faster growth; more reinvestible surplus.	Lower output per unit but uses abundant labour.
Employment	Creates few jobs — bad for surplus-labour economies.	High employment; reduces poverty & inequality.
Champions	Galenson-Leibenstein, Dobb (max future growth).	Gandhi, Schumacher, Sen (jobs & equity now).

Appropriate / Intermediate Technology (समुचित तकनीक)

- **E.F. Schumacher** ("Small is Beautiful", 1973): **"Intermediate technology"** — between primitive hand tools and advanced capital-intensive machines.
- Should be **low-cost, small-scale, labour-using, locally repairable, eco-friendly** — suited to the factor endowment & social conditions of poor regions.
- Gandhi's **charkha & village industries** = early appropriate-technology vision (self-reliance, swadeshi).
- Modern relevance: solar pumps, biogas, low-cost sanitation, micro-irrigation.

Factor-price distortion (important for exams)
In LDCs, market prices are distorted: wages artificially high (unions, min-wage), capital artificially cheap (subsidised credit, overvalued exchange rate). Isse firms choose capital-intensive techniques even where labour is abundant — a **misallocation**. Remedy: use **shadow prices** (true scarcity values) in project appraisal.

D. Investment Criteria (निवेश मापदंड)

Scarce capital ko kahan invest karein — this is decided by **investment criteria**. Different economists ne alag-alag objectives propose kiye.

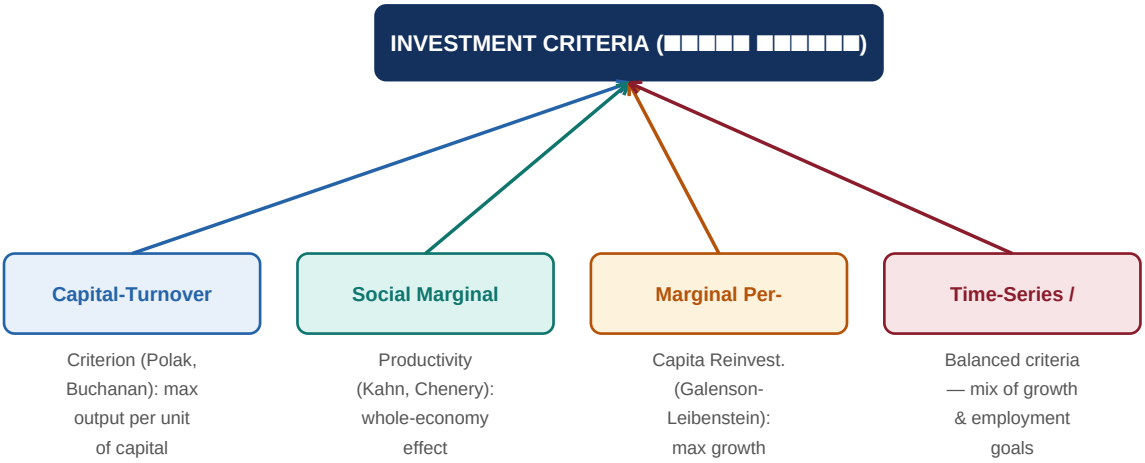


Fig D.1 — Major investment criteria and the growth-vs-employment trade-off

Main Criteria explained

- **Capital-Turnover Criterion** (J.J. Polak, N.S. Buchanan): choose projects with the **lowest capital-output ratio**, i.e. maximum output per unit of scarce capital. *Critique*: ignores employment & future growth.
- **Social Marginal Productivity (SMP)** Criterion (A.E. Kahn, H.B. Chenery): judge a project by its contribution to **total national output**, including external effects — not just private profit. *Critique*: hard to measure; ignores time path of output.
- **Marginal Per-Capita Reinvestment Quotient** (Galenson-Leibenstein): maximise the **reinvestible surplus** to get fastest long-run growth — favours **capital-intensive** projects (higher profits → more reinvestment). *Critique*: sacrifices present employment & consumption.
- **Time-Series / Balanced Criteria**: combine growth, employment & balance objectives; no single rule fits all — depends on a country's goals & constraints.

The central conflict

Maximise output / employment NOW (consumption, jobs, equity) **vs Maximise growth LATER** (reinvestible surplus, capital deepening). Amartya Sen's *"Choice of Techniques"* (1960) formalised this time-preference trade-off.

E. Cost-Benefit Analysis (लागत-लाभ वश्लेषण)

Cost-Benefit Analysis (CBA) = a systematic technique to evaluate whether a public project's **total social benefits exceed total social costs**. Used for dams, roads, power plants, etc.

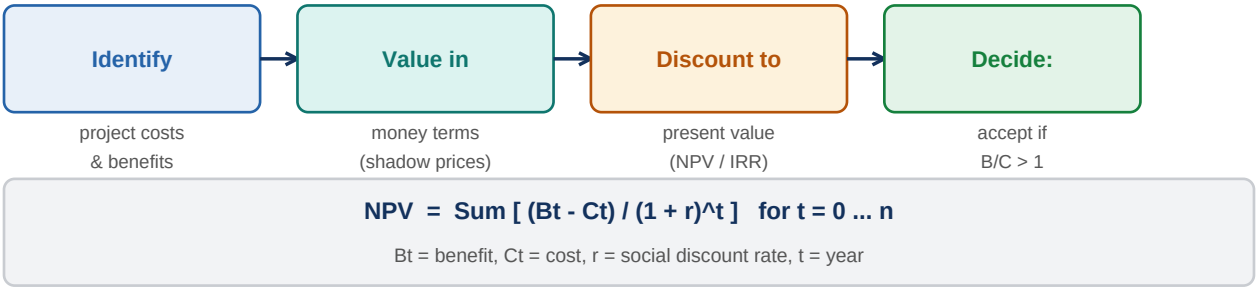


Fig E.1 — Steps & core formula of Cost-Benefit Analysis

Key concepts

- **Social** (not just private) costs & benefits counted, including **externalities** (pollution, displacement).
- **Shadow prices** (accounting prices) used instead of distorted market prices — reflect true opportunity cost.
- **Discounting**: future benefits/costs converted to present value using a **social discount rate (r)**.
- **Decision rules**: accept if **NPV > 0**, or **Benefit-Cost ratio > 1**, or **IRR > cut-off rate**.

Appraisal Method	Author / Body	Distinctive feature
Little-Mirrlees Method	I.M.D. Little & J.A. Mirrlees (OECD)	Uses world (border) prices as shadow prices; numeraire = uncommitted social income / foreign exchange.
UNIDO Method	Dasgupta, Marglin, Sen (UNIDO)	Uses domestic consumption as numeraire; stepwise adjustment for efficiency, savings, redistribution.

KEY TERMS / परिभाषाएँ

Shadow Price	True scarcity/opportunity-cost value of a resource, used when market prices are distorted.
Social Discount Rate	Rate at which society trades present vs future consumption.
NPV	Net Present Value = discounted sum of (benefits - costs); accept if positive.
Externality	Cost/benefit falling on third parties not reflected in market price.

F. Dependency Theories of Development

Dependency theory (1950s-70s, Latin America) argues that underdevelopment is **not** an original state — it is **created** by the way poor "periphery" countries are integrated into the global capitalist system dominated by rich "core" countries. Development of the core **causes** underdevelopment of the periphery.

Key thinkers

- **Paul Baran** ("Political Economy of Growth", 1957): the economic surplus of poor countries is drained away by foreign capital & local elites — blocking accumulation.
- **Andre Gunder Frank**: coined **"development of underdevelopment"**; a metropolis-satellite chain siphons surplus upward. Underdevelopment is actively reproduced.
- **Raul Prebisch & Hans Singer** — the **Prebisch-Singer hypothesis**: the terms of trade of primary-product exporters **deteriorate** over time vs manufactured goods → periphery loses. Policy implication: **industrialise via import substitution (ISI)**.
- **Dos Santos, Cardoso** (dependentistas): "associated-dependent development" is possible but distorted.

Prebisch-Singer Hypothesis (high-yield exam point)
Primary commodities ka demand **income-inelastic** (Engel's law) & price-inelastic hota hai; manufactured goods ka demand zyada elastic. Plus productivity gains in the core are retained as higher wages/profits, while in the periphery they pass on as lower prices. Result: **secular decline in periphery's terms of trade** — justifies protection, ISI, and (later) South-South cooperation, UNCTAD.

G. The Neoclassical Counter-revolution

1980s mein dependency & state-led planning ke against ek **free-market backlash** aaya — the **neoclassical counter-revolution**. Iska argument: underdevelopment ka cause **internal** hai — too much government intervention, distorted prices, rent-seeking — not external exploitation.

- **Deepak Lal** ("The Poverty of Development Economics"): rejects special "development economics"; ordinary price theory + free markets work best.
- **P.T. Bauer**: foreign aid often harms; entrepreneurship & trade, not planning, drive growth.
- **Anne Krueger**: **rent-seeking** — controls & licences create unproductive lobbying for government-created rents (the "License Raj" critique).
- **Bela Balassa**: outward-looking, export-promotion strategies (East Asian tigers) beat inward ISI.
- Policy package → the **"Washington Consensus"**: liberalise, privatise, deregulate, stabilise.

Counter-revolution in 3 strands
(i) **Free-market approach** — markets allocate efficiently if left alone. (ii) **Public-choice / new political economy** — governments fail (corruption, rent-seeking). (iii) **Market-friendly approach** (World Bank, 1991) — markets *plus* a facilitating state for infra, human capital & where markets fail.

H. Dualism (द्वैतवाद)

Dualism = the coexistence of two contrasting sectors/conditions in the same economy — one **modern** (high productivity) and one **traditional** (low productivity) — with little interaction.

Types of dualism

- **Social dualism** (J.H. Boeke): an imported Western capitalist sector clashes with a native pre-capitalist society having different needs & motives.
- **Technological dualism** (Benjamin Higgins): modern sector uses fixed-coefficient capital-intensive tech (limited jobs); traditional sector uses variable-proportion labour-intensive tech → structural unemployment results.
- **Financial dualism** (Myint): organised money market (low interest) vs unorganised (high interest) coexist.

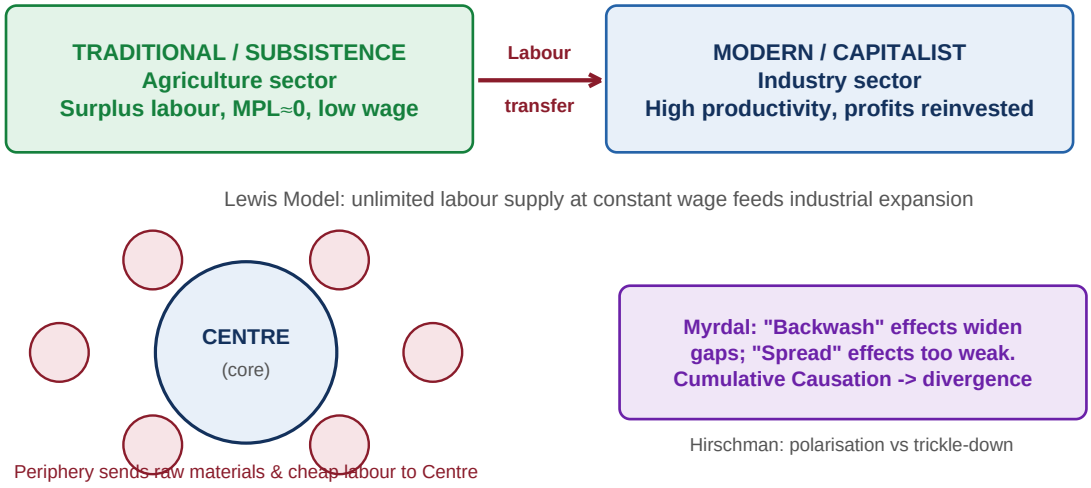


Fig H.1 — Lewis two-sector dualism & the Centre-Periphery structure

Lewis Model of Unlimited Supply of Labour

- **W. Arthur Lewis** (1954, Nobel 1979): a labour-surplus economy has a subsistence sector where **marginal product of labour ~ 0** (disguised unemployment).
- The capitalist (modern) sector can draw **unlimited labour** at a constant wage (~subsistence + ~30% premium).
- Capitalists earn profits → reinvest → expand → absorb more labour — until the **"Lewis turning point"** when surplus labour is exhausted and wages start rising.
- *Critiques*: assumes profits are reinvested locally; ignores skilled-labour scarcity & capital flight; MPL may not be zero. Refined by **Fei-Ranis model** (links farm surplus to industrial growth).

I. Centre-Periphery Models

- **Raul Prebisch** (ECLA): the world economy = an industrial **"centre"** and a primary-producing **"periphery"**; trade & technology gains accrue mainly to the centre.
- **John Friedmann's** core-periphery model: development concentrates in dynamic **core** regions; **peripheral** regions remain dependent — four stages from pre-industrial to spatially integrated.
- Linked to **Wallerstein's World-Systems theory**: core, semi-periphery, periphery in a single capitalist world-economy.
- Policy relevance: explains **regional imbalance** within India too (developed west/south vs lagging east).

J. Process of Cumulative Causation

Gunnar Myrdal (1957, "Economic Theory and Underdeveloped Regions"): markets do **not** automatically reduce regional inequality. Instead, an initial advantage **cumulates** — **"circular and cumulative causation."** Rejects the neoclassical stable-equilibrium assumption.

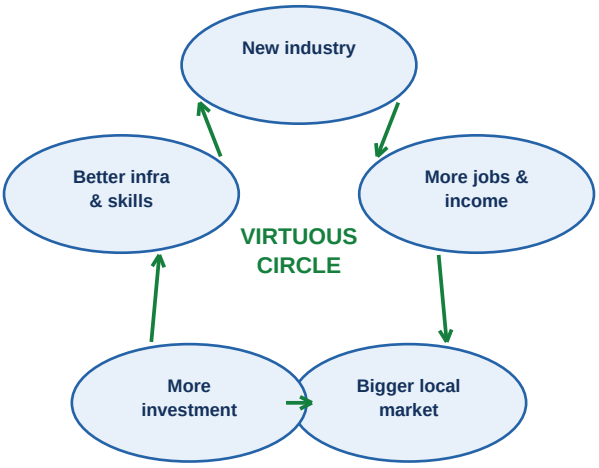


Fig J.1 — Myrdal's virtuous circle (reverse arrows = vicious circle)

- **Backwash effects**: a growing region drains the lagging region's capital, skilled labour & trade — widening gaps.
- **Spread effects**: growth impulses radiate outward (demand for the lagging region's products, tech spillover). In poor countries spread effects are **weak**, backwash dominates → divergence.
- Policy: state intervention needed to strengthen spread effects (regional policy, infra in lagging areas).
- **Nicholas Kaldor** applied cumulative causation to **manufacturing**: faster output growth → productivity growth (**Verdoorn's Law**) → competitiveness → faster growth — a self-reinforcing loop.

KEY TERMS / परिभाषाएँ

Backwash Effect	Negative spillovers: leading region drains labour/capital from the lagging one.
Spread Effect	Positive spillovers from a growing region to surrounding areas.
Verdoorn's Law	Faster manufacturing output growth raises productivity growth (Kaldor).
Circular Causation	Self-reinforcing chain where an initial change triggers same-direction changes.

K. Planning: Concepts, Approaches, Types & Techniques

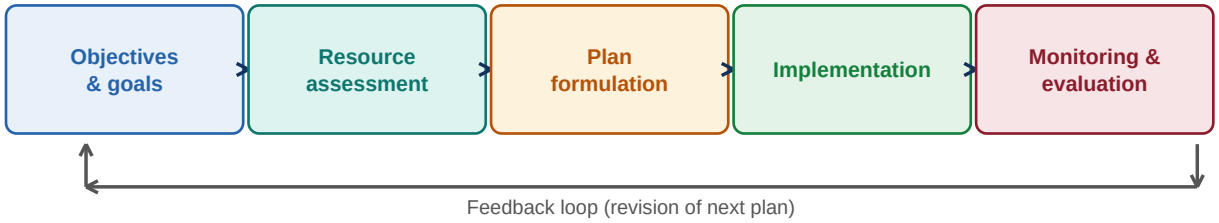
Economic planning = a deliberate, coordinated allocation of resources by a central authority to achieve defined national objectives within a time frame. India ne planning ko apnaya growth + equity + self-reliance ke liye.

Objectives of planning in India

- High & sustained **economic growth**; **self-reliance** (atmanirbharta).
- **Full employment**; reduction of **poverty & inequality**; balanced **regional** development.
- Modernisation; **social justice**; price stability.

Types of planning (important classification)

Basis	Type	Meaning
By compulsion	Imperative vs Indicative	Imperative = binding/command (USSR); Indicative = govt sets targets, private sector free (France; India post-1991).
By coverage	Comprehensive vs Partial	Whole economy vs selected sectors.
By scope	Functional vs Structural	Works within existing structure vs changes the structure itself.
By time	Perspective / Rolling / Fixed	Perspective = long-run (15-20 yrs); Rolling = annually revised (Gadgil); Fixed = set duration (5-yr plans).
By direction	Centralised vs Decentralised	Top-down (Planning Commission) vs bottom-up (NITI Aayog, 73rd/74th Amendments).



India: Imperative planning (pre-1991) -> Indicative planning (post-1991, market-friendly)

Planning Commission (1950-2014) -> NITI Aayog (since 1 Jan 2015)

Fig K.1 — The planning process cycle & India's shift from imperative to indicative planning

Techniques / Tools of planning

- **Harrod-Domar model** (used in 1st Plan): g = s/v.
- **Mahalanobis four-sector / two-sector model** (2nd Plan): heavy-industry-led growth.
- **Input-Output analysis** (Leontief), **Linear Programming**, and **plan models** for consistency & optimisation.

L. Five Year Plans in India (पंचवर्षीय योजनाएँ)

India ne **12 Five Year Plans (1951-2017)** banaye. 2017 ke baad NITI Aayog ne plans ki jagah **strategy documents** (3-year action agenda, 7-year strategy, 15-year vision) introduce kiye. Neeche important plans ka summary:

Plan	Period	Model / Focus	Key points & outcome
1st	1951-56	Harrod-Domar; Agriculture & irrigation	Post-Partition recovery. Target 2.1%, achieved 3.6% — success. Bhakra, Hirakud dams.
2nd	1956-61	Mahalanobis; Heavy industry	Socialist pattern; PSUs, steel plants (Bhilai, Rourkela, Durgapur). Industrial Policy 1956.
3rd	1961-66	Self-reliant, self-generating economy	Failed — wars (China 1962, Pak 1965) + drought. Led to 3 "Plan Holidays" (1966-69).
4th	1969-74	Gadgil; Growth with stability & self-reliance	Green Revolution spreads; bank nationalisation (1969); "garibi hatao" context.
5th	1974-79	Garibi Hatao; poverty & employment	D.P. Dhar. MNP, food self-sufficiency. Terminated a year early (1978) by Janata govt.
6th	1980-85	Poverty alleviation; modernisation	IRDP, NREP. Beginning of liberalisation tilt. Considered successful.
7th	1985-90	Food, work, productivity	"Jobs through productivity"; Jawahar Rozgar Yojana. Tech upgrade focus.
8th	1992-97	Rao-Manmohan; Liberalisation (LPG)	After 1991 reforms. Indicative planning begins. High growth ~6.8%. (1990-92 = annual plans).
9th	1997-2002	Growth with social justice & equity	Focus on the 7 "basic minimum services".
10th	2002-07	Target 8% growth; halve poverty	Monitorable targets at state level; achieved ~7.6%.
11th	2007-12	Faster & more **inclusive** growth	Highest growth era (~8%); MGNREGA, RTE, Bharat Nirman.
12th	2012-17	Faster, sustainable, more inclusive	**Last** Five Year Plan. Target 8%, achieved ~6.7%. Replaced by NITI Aayog framework.

Must-remember one-liners

• **1st Plan** = Harrod-Domar, agriculture. • **2nd Plan** = Mahalanobis, heavy industry (most-asked). • **Plan Holiday** = 1966-69. • **Rolling Plan** (1978-80) by Janata govt (D.T. Lakdawala). • **8th Plan** = start of LPG/indicative planning. • **12th** = last plan; after 2017 → NITI strategy documents.

M. Planning Commission & NITI Aayog

Planning Commission (1950-2014)

- Set up by a **Cabinet resolution on 15 March 1950** (non-constitutional, non-statutory body).
- **Chairman = PM**; had a Deputy Chairman & members. Formulated Five Year Plans & allocated funds to states.
- **National Development Council (NDC, 1952)** = apex body that approved the plans (PM + CMs + members).
- Criticised for being **top-down**, "one-size-fits-all," and for usurping states' fiscal autonomy.

NITI Aayog (since 1 January 2015)

- **NITI = National Institution for Transforming India**. Replaced the Planning Commission via a Cabinet resolution.
- A **think-tank** — it does **not allocate funds** (that role moved to the Finance Ministry/Finance Commission).
- Promotes **cooperative & competitive federalism** ("Team India"); bottom-up, state-driven planning.
- **Structure**: Chairperson = PM; a **Vice-Chairperson**; CEO; full-time & part-time members; **Governing Council** (all CMs + LGs); Regional Councils; special invitees.
- Key initiatives: **SDG India Index, Aspirational Districts Programme, Atal Innovation Mission, 3-yr Action Agenda / 7-yr Strategy / 15-yr Vision.**



Feature	Planning Commission	NITI Aayog
Nature	Funds-allocating, executive body.	Advisory think-tank; no fund allocation.
Approach	Top-down, centralised.	Bottom-up, cooperative federalism.
States' role	Limited; states were claimants for funds.	States are equal partners in policy.
Planning style	Five Year Plans (imperative tilt).	Vision/Strategy documents; indicative.
Powers	Had power to impose policies.	Only advises; persuasion not power.

Latest update (June 2026) — current-affairs edge

In April-May 2026 the government **reconstituted NITI Aayog**. Economist **Ashok Kumar Lahiri** took charge as the new **Vice-Chairperson on 8 May 2026**, succeeding **Suman Bery** (VC from May 2022 to April 2026). The PM remains ex-officio Chairperson. Lahiri is a former Chief Economic Adviser and 15th Finance Commission member.

N. Indian Economic Thinkers (भारतीय आर्थिक चिंतक)

Syllabus mein 8 thinkers named hain. Har ek ka core economic idea yaad rakhein — exam mein frequently asked.

M.K. Gandhi (1869-1948)

Gandhian Economics: decentralised **village-based self-sufficient economy** (gram swaraj); **trusteeship** (rich hold wealth in trust for society); dignity of labour; **Khadi & village industries**; appropriate/small-scale technology; non-violence (ahimsa) & limiting wants ("earth has enough for everyone's need, not greed"); Sarvodaya (welfare of all).

B.R. Ambedkar (1891-1956)

Trained economist (Columbia, LSE). "**Problem of the Rupee**" (exchange & currency); state socialism; **land reforms & nationalisation of agriculture**; small holdings critique; ideas fed into RBI's design; linked **economic justice with social justice** (annihilation of caste, labour rights).

Deendayal Upadhyaya (1916-1968)

Integral Humanism (Ekatma Manav Darshan): development must serve body, mind, intellect & soul; **Antyodaya** — uplift of the last/poorest person; swadeshi & decentralisation; a culturally-rooted, non-Western model balancing individual & society.

Dattopant Thengadi (1920-2004)

Labour thinker; founder of **Bharatiya Mazdoor Sangh** & Swadeshi Jagran Manch. Idea of **"Third Way"** — rejecting both capitalism & communism for an indigenous, labour-respecting, **swadeshi** economic order; "labour as co-owner," not a commodity.

Ram Manohar Lohia (1910-1967)

Socialist thinker. **"Saptakranti" (seven revolutions)**; decentralised **small-unit machine technology**; anti-concentration of wealth; **caste & gender equality** as economic issues; emphasis on the rural poor and a non-Soviet democratic socialism.

J.K. Mehta (1901-1980)

Philosophical economist. **"Wantlessness"** theory — true welfare lies in **minimising wants**, not maximising consumption (an Indian/spiritual counter to Western utility-maximisation). Critiqued the assumptions of Western micro theory.

Amartya Sen (1933-)

Nobel 1998. **Capability approach** — development = expansion of real freedoms/capabilities, not just income ("Development as Freedom"). **Entitlement theory of famines** (famines from access failure, not just food shortage). Co-created the **HDI**; work on welfare economics, social choice & inequality.

Jagdish Bhagwati (1934-)

Leading **trade economist** & champion of **free trade / outward-oriented growth**. **"Track-I (growth) enables Track-II (redistribution)"** — growth first to fund welfare (the Bhagwati vs Sen debate). Concepts: **immiserising growth**, DUP (directly-unproductive profit-seeking) activities; critic of the License Raj.

The Sen vs Bhagwati debate (frequently asked)

Sen (Kerala model): invest in **health & education first** — human capabilities drive and broaden growth.
Bhagwati (Gujarat model): pursue **high growth first** — it generates the revenue needed to fund social spending.
Dono growth chahte hain; difference is **sequencing & emphasis**.

O. Quick Revision & Likely Exam Questions

One-line revision bullets

- **Active factor** of development = human resources (Schultz's human capital).
- **Big Push** = Rosenstein-Rodan; **Critical Minimum Effort** = Leibenstein; **Balanced** = Nurkse; **Unbalanced** = Hirschman.
- **Appropriate/Intermediate technology** = Schumacher ("Small is Beautiful").
- **Galenson-Leibenstein** = max reinvestible surplus → capital-intensive; **Sen** = choice of techniques trade-off.
- **Little-Mirrlees** = world prices; **UNIDO** = domestic consumption numeraire (Dasgupta-Marglin-Sen).
- **Prebisch-Singer** = declining terms of trade of primary exporters → ISI.
- **Dependency** = Frank ("development of underdevelopment"), Baran (surplus drain).
- **Neoclassical counter-revolution** = Lal, Bauer, Krueger (rent-seeking), Washington Consensus.
- **Dualism**: social (Boeke), technological (Higgins), financial (Myint); **Lewis** = unlimited labour supply.
- **Cumulative causation** = Myrdal (backwash > spread); **Verdoorn's Law** = Kaldor.
- **NITI Aayog** since 1 Jan 2015; VC (2026) = **Ashok Kumar Lahiri**; 12th = last Five Year Plan.

Previous-year style questions (practice)

#	Question
Q1.	Explain the role of agriculture and industry in economic development. Are they competitive or complementary?
Q2.	Discuss the major investment criteria. How is the conflict between maximum output and maximum growth resolved?
Q3.	What is Cost-Benefit Analysis? Compare the Little-Mirrlees and UNIDO methods of project appraisal.
Q4.	Critically examine the dependency theory of development with reference to the Prebisch-Singer hypothesis.
Q5.	Explain Myrdal's theory of circular and cumulative causation. Distinguish backwash and spread effects.
Q6.	Distinguish between balanced and unbalanced growth strategies. (Nurkse vs Hirschman)
Q7.	Compare the Planning Commission and NITI Aayog. Has the shift improved Indian planning?
Q8.	Write short notes on: (a) Lewis model of dualism (b) Appropriate technology (c) Neoclassical counter-revolution.
Q9.	Discuss the economic ideas of Gandhi and Deendayal Upadhyaya. How do they differ from Western models?
Q10.	Examine the Sen vs Bhagwati debate on growth and development in the Indian context.

Exam tip

Har answer mein ek **diagram + named economist + one critique** zaroor add karein — yeh examiner ko depth dikhata hai. Indian thinkers & the PC-vs-NITI comparison are very high-probability. Always link theory to **India's policy experience** (Mahalanobis, Green Revolution, 1991 reforms).